KNECK OFFICIAL

Business Studies — Paper 2

565/2 • ORIGINAL REVISION SET 01 • 2 hours 30 minutes • 100 marks

Name: _____ Class: _____ Date: _____

Independent KCSE-style practice. Not issued, endorsed or predicted by KNEC. These are original questions, not leaked or past official papers. Component numbering is checked against the KNEC 2026 timetable. A teacher should review these practice materials before formal classroom assessment.

CANDIDATE INSTRUCTIONS

Answer ANY FIVE of the six questions. Each carries 20 marks. Show all accounting working.

Use a separate answer booklet. Show working where appropriate. The marking guidance begins after the END OF QUESTIONS page; do not consult it until you finish. Practical and project components require the stated equipment and teacher supervision, not merely a printed worksheet.

STRUCTURED QUESTIONS

Choose five.

1. (a) Explain five benefits of entrepreneurship to Kenya. (10) (b) Explain five factors to consider before starting a small printing business near a school. (10) [20 marks]

2. (a) Explain five advantages of a cooperative society to members. (10) (b) Explain five challenges cooperatives may face and appropriate responses. (10) [20 marks]

3. (a) Explain five factors influencing choice of a communication method. (10) (b) Explain five measures for secure and effective business communication online. (10) [20 marks]

4. A trader begins with cash KSh 50,000. Transactions: buys goods for cash 12,000; cash sales 18,000; pays rent 5,000; receives loan in cash 20,000; buys equipment for cash 15,000. (a) Prepare a simple cash account and balance it. (10) (b) Distinguish capital and revenue expenditure with examples from the transactions. (4) (c) Explain three uses of accounting records. (6) [20 marks]

5. Annual sales KSh 600,000; returns inwards20,000; opening stock80,000; purchases350,000; carriage inwards10,000; closing stock90,000; operating expenses100,000. (a) Prepare trading and profit statement. (12) (b) Calculate gross margin and net profit margin. (4) (c) Explain two ways to improve profitability without misleading customers. (4) [20 marks]

6. (a) Explain five benefits and five possible costs of international trade to a developing economy. (10) (b) Explain five measures that can improve a country's balance of payments sustainably. (10) [20 marks]

END OF QUESTIONS

MARKING GUIDANCE

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Suggested answers and assessment guidance, not an official marking scheme. Accept equivalent correct reasoning, valid examples and properly justified alternative methods. Marks for an item must not exceed its printed allocation. For essays use relevant textual evidence and the rubric; no plot summary alone.

STRUCTURED QUESTIONS

1. (20 marks) a Employment,innovation,tax/income,local resources,competition/community services, five developed2 each. b Demand/copyright permission,capital,costs,location/power,competition,skills,seasonality, five explained2 each.

2. (20 marks) a Bargaining power,pooled resources,credit,shared services,market access,risk sharing five explained (10). b Weak governance/audits,capital/member saving,delayed payments/planning,market volatility/diversification,low participation/education five paired2 each (10).

3. (20 marks) a Urgency,cost,confidentiality,audience,literacy,distance,need record,complexity five explained (10). b Verify recipient,access controls,encryption where suitable,clear messages,phishing awareness,backups,privacy/consent five explained (10).

4. (20 marks) a Debit opening50,000,sales18,000,loan20,000 total88,000; credit purchases12,000,rent5,000,equipment15,000,balance56,000 total88,000, correct dates/labels/sides/balance (10). b Equipment capital; rent/trading costs revenue with enduring-benefit distinction (4). c Decisions,profit measurement,control/tax,credit evidence three explained (6).

5. (20 marks) a Net sales580,000; goods available440,000; COGS350,000; gross profit230,000; expenses100,000; net profit130,000, proper layout/workings (12). b Gross margin230/580×100=39.66%; net130/580×100=22.41% (4). c Reduce waste/negotiate supplies/improve useful service or productivity, two explained (4).

6. (20 marks) a Benefits markets,foreign exchange,technology,choice,specialisation; costs dependence,job pressure,external shocks,trade deficits,environment/resource strain; five balanced paired points (10). b Diversify value-added exports,productivity/tourism,reduce avoidable imports through competitive local production,remittances channels,stable investment,exports logistics, five explained (10).

REVISION CHECK

Mark your work, list three misconceptions, revise those topics and attempt the incorrect questions again without the guide. These topics are revision priorities, not a forecast of the real examination.

Paper/component reference: https://www.knec.ac.ke/wp-content/uploads/2026/02/2026-KCSE-Timetable.pdf